

Restaurant Cost Analysis

Page 1: Executive Cost Overview (2018)

Understanding ingredient costs, budget performance, and key variances for restaurant categories in 2018.

\$0.531

Avg Actual Unit Cost

\$0.527

Avg Budget Unit Cost

+0.69%

vs. Budget

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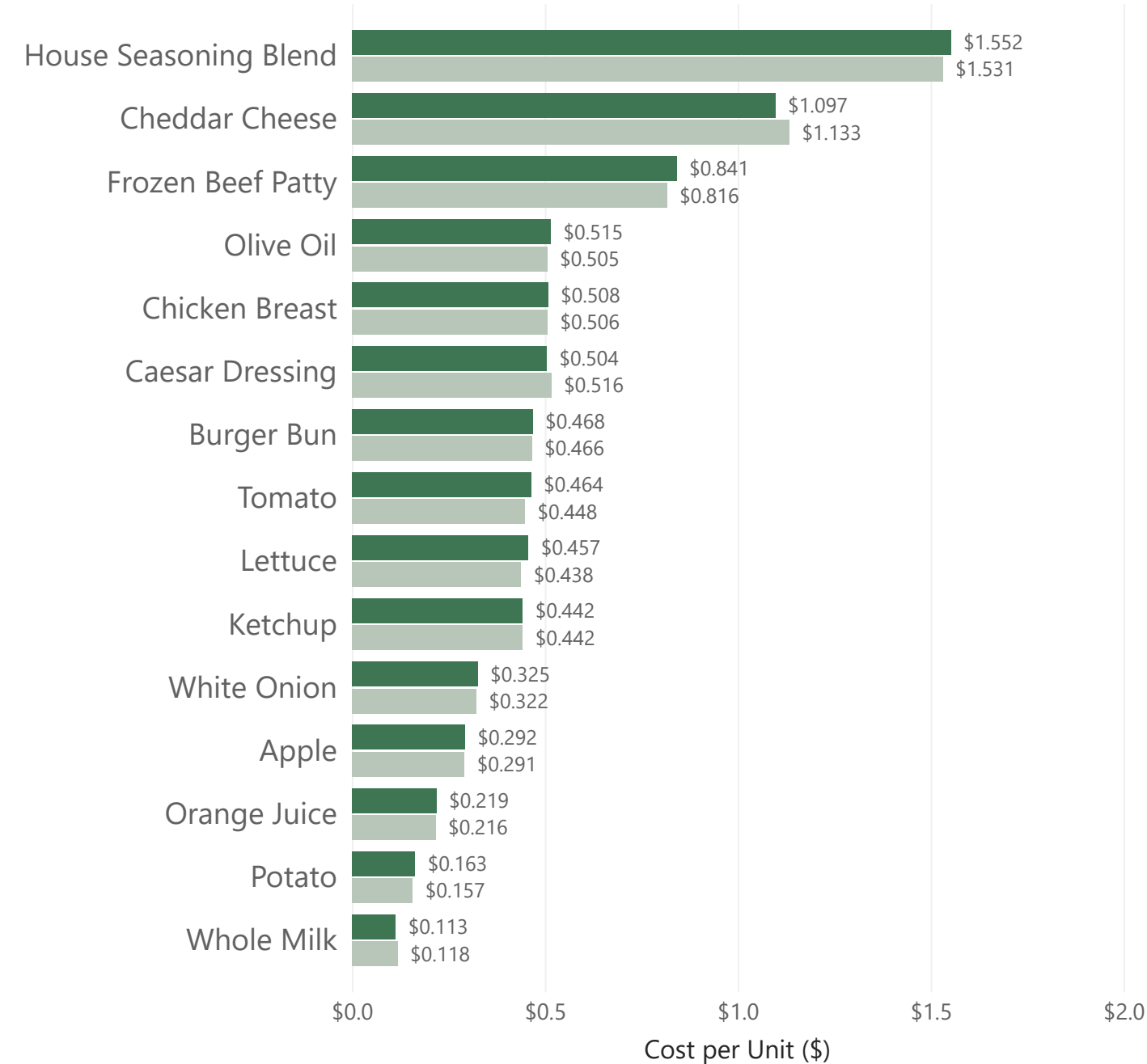
Ingredients Over Budget

+3.79%

vs. 2017*

Actual vs. Budget Unit Cost by Ingredient

● Actual Cost (2018) ● Budget Cost



Top 5 Unfavorable Variances

(Actual > Budget)

Ingredient	Actual	Budget	Variance
Lettuce	\$0.457	\$0.438	+4.22%
Potato	\$0.163	\$0.157	+3.60%
Tomato	\$0.464	\$0.448	+3.60%
Frozen Beef Patty	\$0.841	\$0.816	+3.12%
Olive Oil	\$0.515	\$0.505	+1.86%

Favorable Variances

(Actual < Budget)

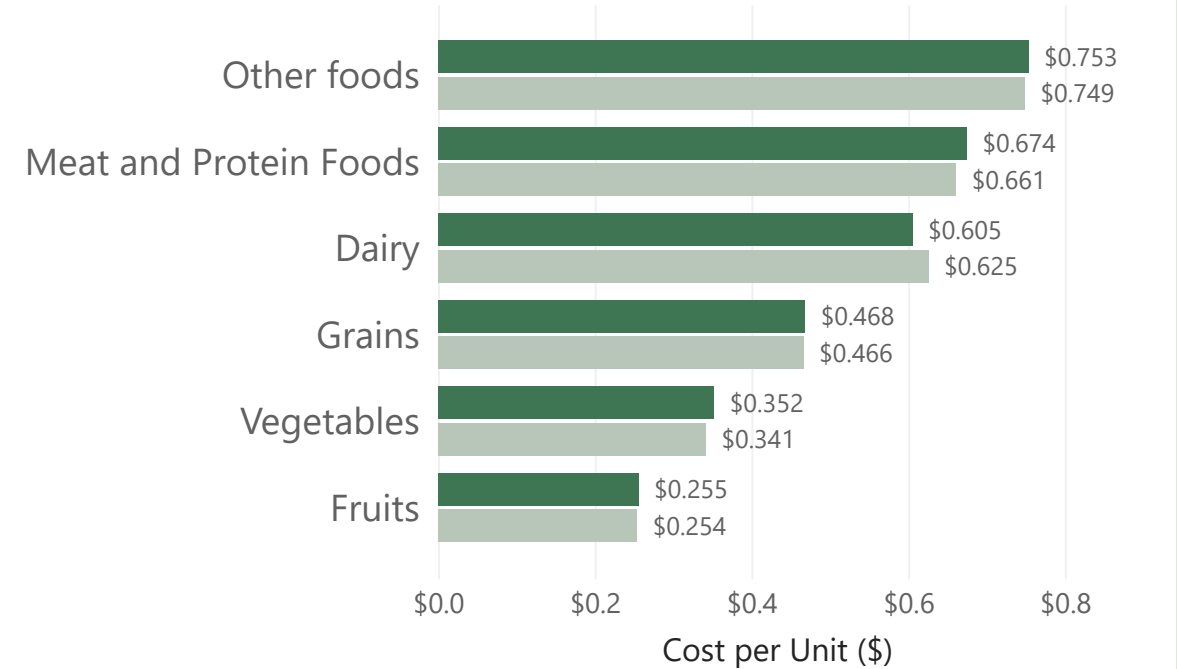
Ingredient	Actual	Budget	Variance
Ketchup	\$0.442	\$0.442	-0.06%
Caesar Dressing	\$0.504	\$0.516	-2.33%
Cheddar Cheese	\$1.097	\$1.133	-3.15%
Whole Milk	\$0.113	\$0.118	-4.19%

*Prior-Year Context

Average ingredient unit costs rose 3.79% year over year, while 2018 costs finished 0.69% above budget.

Actual vs. Budget Unit Cost by Category

● Actual Cost (2018) ● Budget Cost



Key Takeaways

- 11 of 15 ingredients finished above budget, with overall average unit cost **0.69% over budget**
- Lettuce had the largest unfavorable variance at **+4.22%**, followed by Potato and Tomato at **+3.60%**
- Whole Milk had the largest favorable variance at **-4.19%**, while Dairy was the only category notably below budget overall

Restaurant Cost Analysis

Page 2: Pricing Trends & Drivers (2018)

Exploring how ingredient costs changed throughout 2018 and what factors contributed to higher or lower costs.

+2.93%

Highest Monthly Variance

-0.47%

Lowest Monthly Variance

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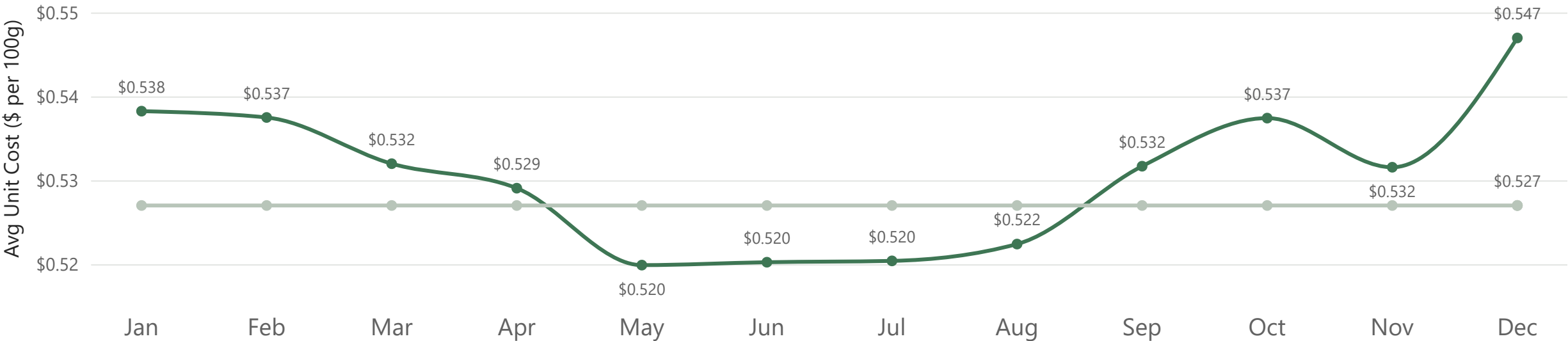
Months Above Budget

\$0.426

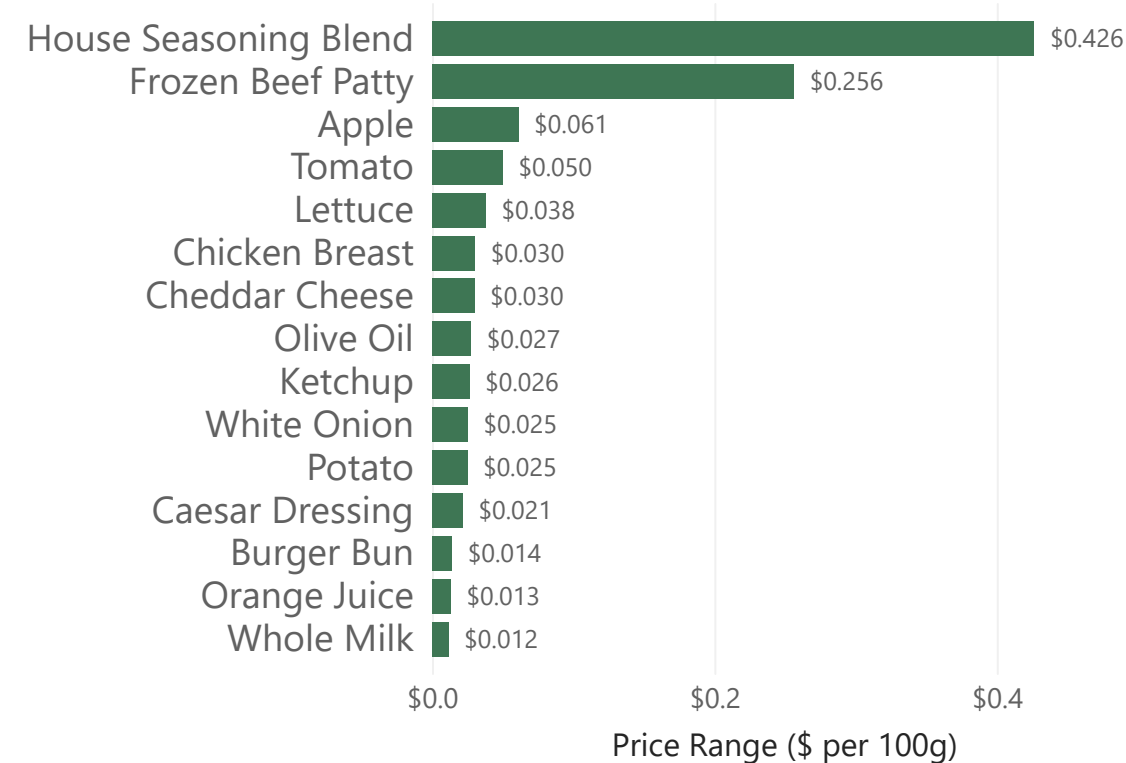
Largest Ingredient Price Range

Monthly Actual vs. Budget Unit Cost

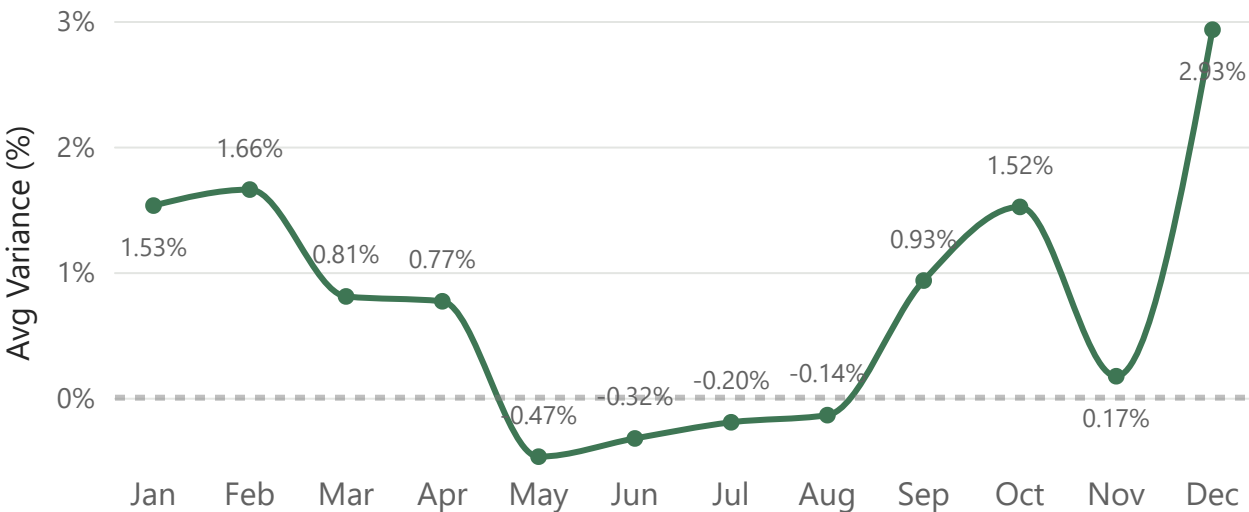
● Avg Actual Unit Cost ● Budget Unit Cost



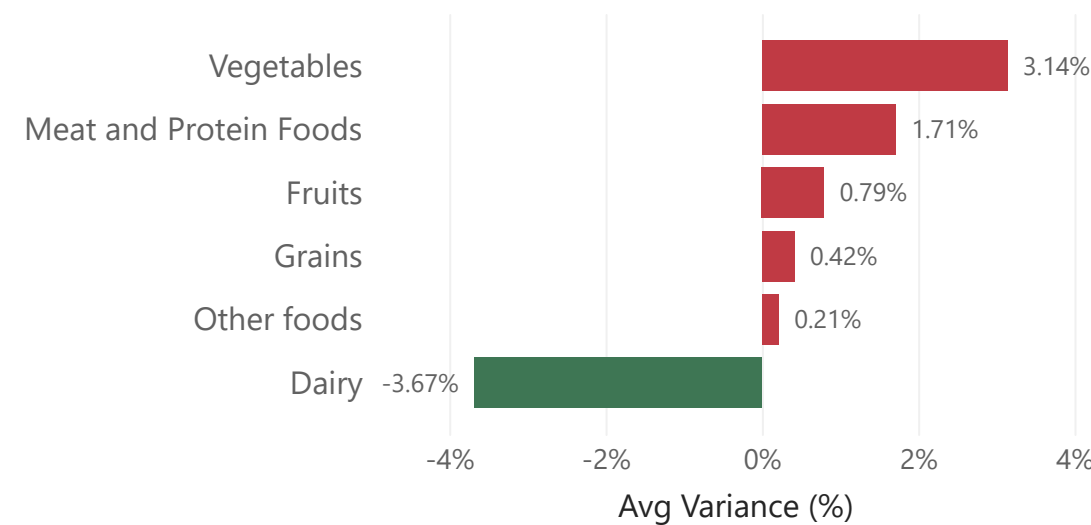
2018 Ingredient Price Volatility



Monthly Variance vs. Budget



Average Variance vs. Budget by Category



Key Takeaways

- December had the **highest average variance at +2.93%**
- May had the **lowest average variance at -0.47%**
- House Seasoning Blend** was the most volatile ingredient, with a price range of about **\$0.426**
- Vegetables** had the **largest unfavorable category variance at +3.14%**, while **Dairy** was **favorable at -3.67%**

Restaurant Cost Analysis

Page 3: Menu Cost Impact

Understanding how ingredient cost changed impacted menu item costs and identifying items most affected by price volatility.

\$1.733

Avg Actual Food Cost

\$1.713

Avg Budget Food Cost

+1.01%

Avg Menu Cost Variance

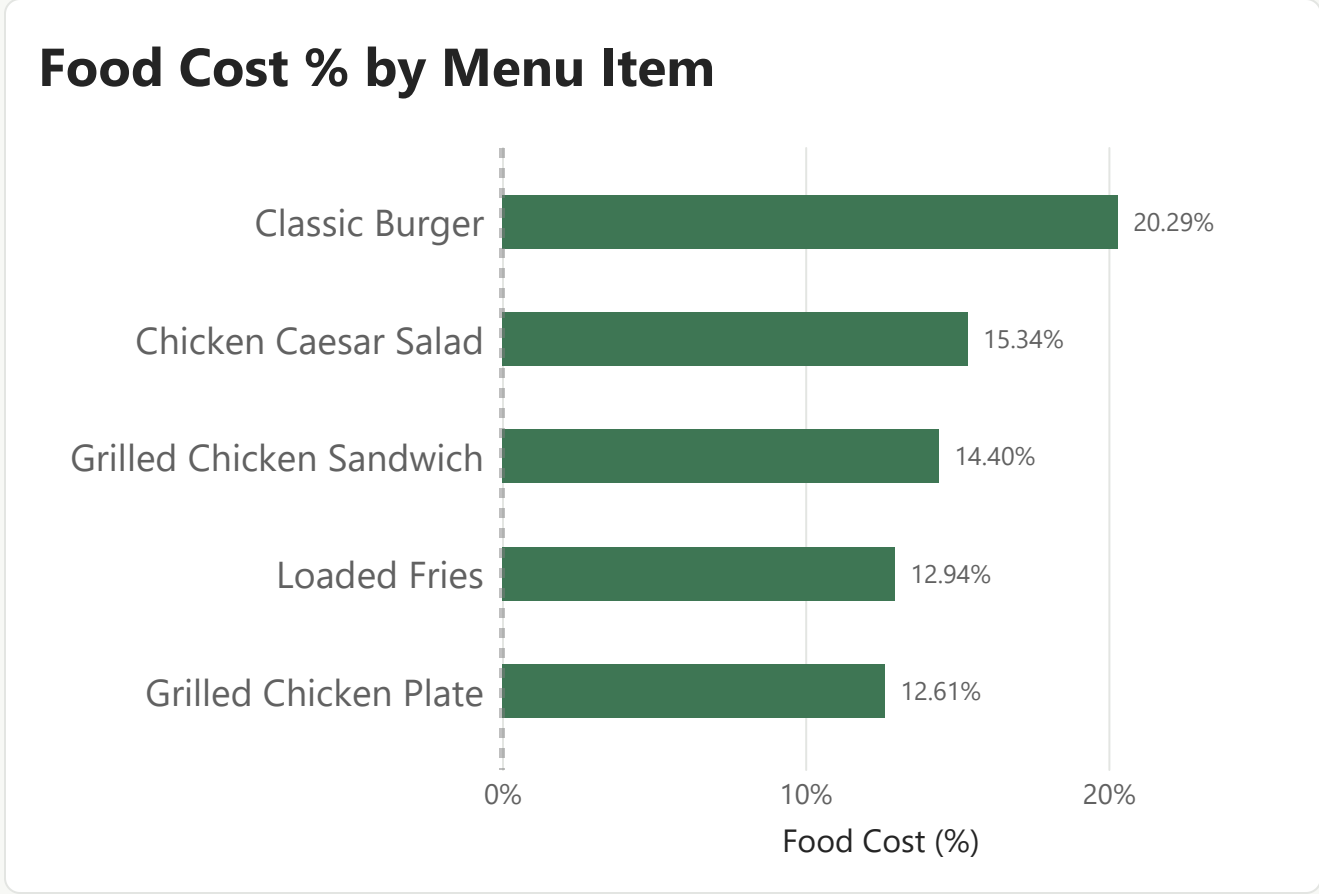
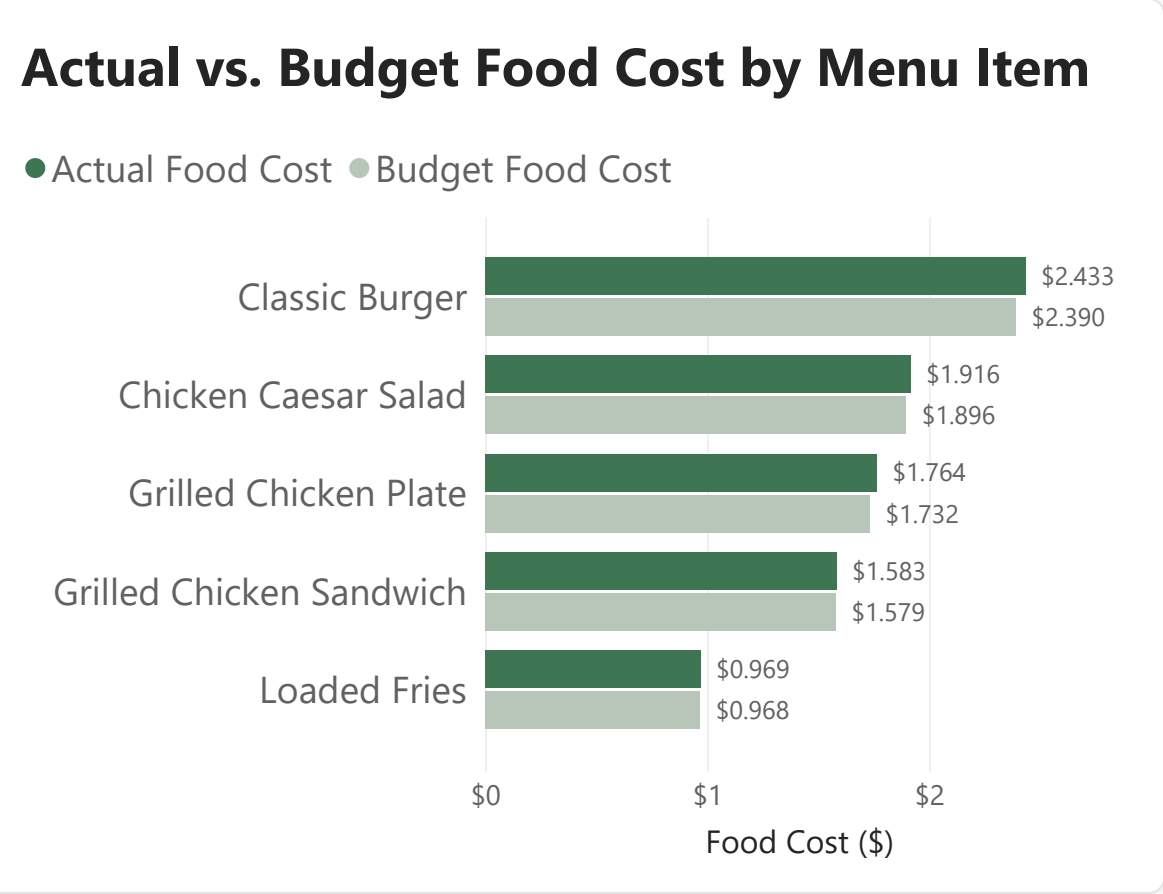
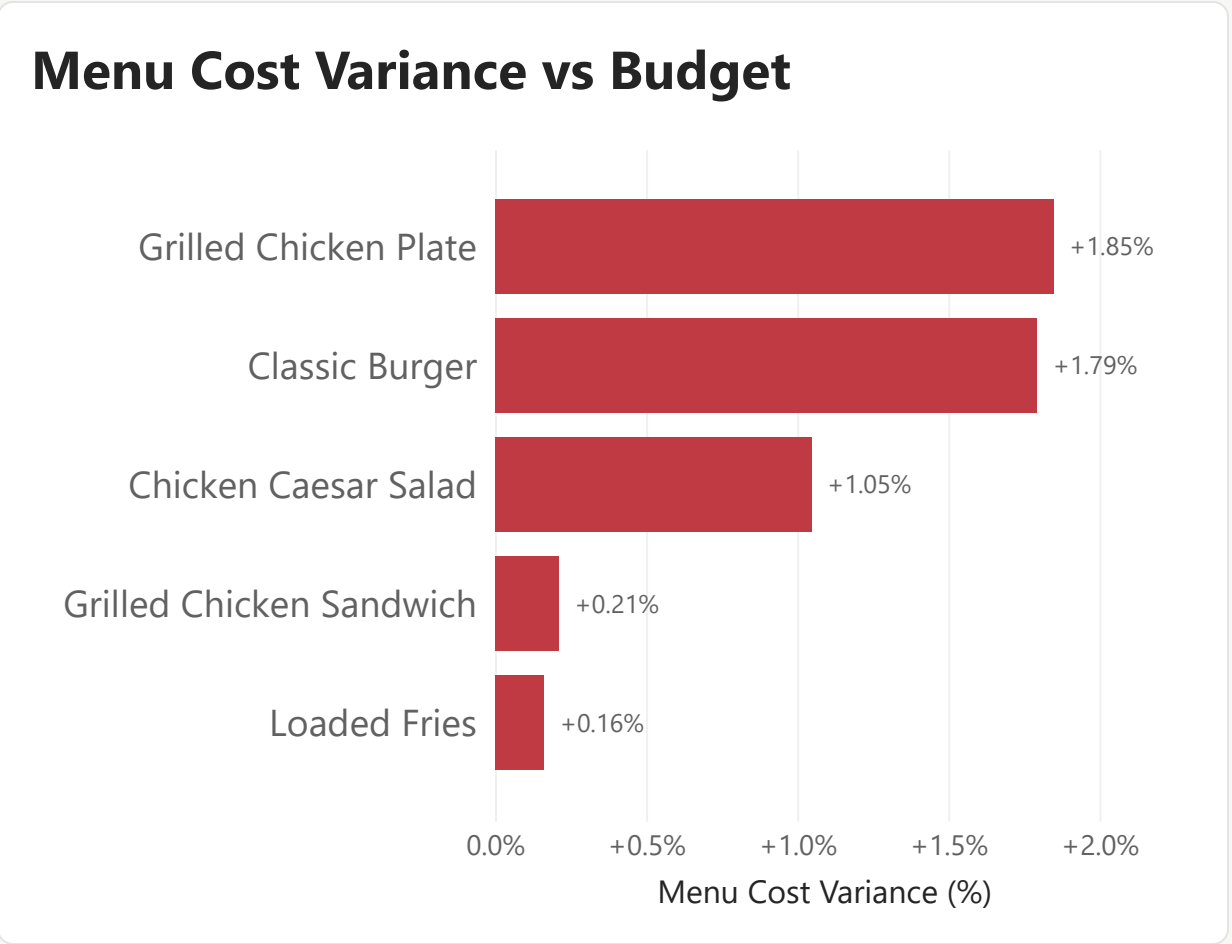
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Menu Items Over Budget

20.29%

Highest Food Cost %

Menu Item Cost Summary				
Menu Item	Item Selling Price	Actual Food Cost (\$)	Actual Food Cost (%)	Menu Cost Variance (%)
Classic Burger	\$11.99	\$2.433	20.29%	+1.79%
Chicken Caesar Salad	\$12.49	\$1.916	15.34%	+1.05%
Grilled Chicken Plate	\$13.99	\$1.764	12.61%	+1.85%
Grilled Chicken Sandwich	\$10.99	\$1.583	14.40%	+0.21%
Loaded Fries	\$7.49	\$0.969	12.94%	+0.16%



- ### Key Takeaways
- **Classic Burger** had the highest food cost % at **20.29%**
 - **Grilled Chicken Plate** had the largest menu cost variance at **+1.85%**
 - All 5 menu items finished slightly over budget
 - **Loaded Fries** stayed closest to budget at only **+0.16%**